

TE 452 / TE 462 - Policy & Regulation (Past Paper)

54 transcribed multiple-choice questions with answers verified against the course lecture decks

Section A - Multiple Choice (transcribed from the past paper)

1. The factors that encouraged the monopoly paradigm in the telecommunication sector can be categorized as

- A. social, political and economic
- B. political and economic ✓**
- C. social and political
- D. social and economic
- E. None of the above

Answer: B. political and economic

Insight: The decks name exactly two factors behind the state-monopoly era: Economic (very high network cost + low demand → natural monopoly) and Political (governments kept control, treating telecoms like the state post office). 'Social' is not listed.

2. WTO aims at

- A. establishing rules for domestic trade
- B. restricting trade practices
- C. liberalising international trade ✓**
- D. encouraging entrepreneurs
- E. None of the above

Answer: C. liberalising international trade

Insight: The WTO 'regulates international trade', and its Basic Telecommunications Agreement opens telecom markets to competition and investment — i.e. it liberalises international (not domestic) trade.

3. Accounting separation enables regulators to examine whether a dominant operator is favouring its own retail business over its competitors.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: Accounting separation forces a vertically-integrated dominant operator to keep separate wholesale/retail accounts, so the regulator can see whether it is cross-subsidising or favouring its own retail arm over rivals. (Standard competition-safeguard concept.)

4. The following are instruments of regulation EXCEPT

- A. regulations
- B. resolutions
- C. decisions
- D. policies
- E. None of the above ✓**

Answer: E. None of the above

Insight: The decks list regulations, decisions, policies AND resolutions all as regulatory instruments ('regulations, decisions, orders, decrees, rules, policies, notices, resolutions'). Every option is an instrument, so none is the exception.

5. The availability of affordable communications services for all citizens on a personal basis is

- A. Universal Access
- B. Universal Achievement
- C. Universal Assess
- D. Universal Service ✓**
- E. None of the above

Answer: D. Universal Service

Insight: Universal Service = availability on an individual/personal (household) basis; Universal Access = a shared/community basis. 'Personal basis' → Universal Service. (Compare Q41.)

6. A license which sets out identical terms of operation for all businesses operating in a particular market segment can be referred to as (I) individual operator (II) class license (III) general authorisation

- A. I or II
- B. I or III
- C. II or III ✓**
- D. I, II or III
- E. None of the above

Answer: C. II or III

Insight: A class licence / general authorisation 'sets out identical terms of operation for all businesses operating in a particular market segment', so both II and III describe it.

7. The principles of good regulatory decision-making include all of the following EXCEPT

- A. Transparency
- B. Objectivism
- C. Professionalism
- D. All of the above
- E. None of the above ✓**

Answer: E. None of the above

Insight: The principles of good regulatory decision-making listed are Transparency, Objectivity, Professionalism, Efficiency and Independence — so all three options are genuine principles and none is the exception.

8. Which of the following is/are true about individuals in the Bottom of the Pyramid markets? (I) They are unable to spend significant sums of money. (II) They have often been considered commercially unviable by large companies.

- A. I only
- B. II only
- C. Both I and II ✓**
- D. None of the above

Answer: C. Both I and II

Insight: Bottom-of-the-Pyramid individuals have low individual purchasing power (can't spend large sums each) AND were historically judged commercially unviable by big firms — yet collectively form a huge market. Both statements are true. (Standard BoP concept.)

9. What type of rules are vulnerable to becoming dated or inappropriate in a fast-moving high technology industry?

- A. ex-parte
- B. ex-ante ✓**
- C. ex-post
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: B. ex-ante

Insight: Ex-ante rules are fixed in advance, so in a fast-moving high-tech industry they quickly become dated or inappropriate. (ex ante = 'before certain issues arise'.)

10. Which of these sectors helps spread equitable, sustainable and affordable access to information and communication technologies (ICT)?

- A. ITU-R
- B. ITU-T
- C. ITU-D ✓**
- D. ITU-S
- E. None of the above

Answer: C. ITU-D

Insight: ITU-D (Development) 'helps spread equitable, sustainable and affordable access to information and

communication technologies (ICT).'

11. Which of the following is not one of the grounds on which a regulator's decision may be appealed?

- A. law
- B. procedure
- C. logic
- D. authority ✓**
- E. None of the above

Answer: D. authority

Insight: The deck lists the grounds of appeal as law (illegality), procedure (misadministration), logic (irrationality) and the substance of the action. 'Authority' is NOT among them, so it is the odd one out. Note: 'logic' IS a valid ground.

13. [stem reconstructed] The body responsible for the technical and economic regulation of the telecommunication sector (as distinct from policy-making) is

- A. The ministry in charge of the telecommunication sector
- B. The national telecommunication regulator ✓**
- C. Mobile network operators
- D. The courts of law
- E. The police

Answer: B. The national telecommunication regulator

Insight: Policy-making is the ministry's job; the technocratic, day-to-day regulation of the sector is done by the independent national regulator (the decks stress the regulator should be separate from the ministry). NB: this stem was cut off in the photo — if it actually asked about policy-making, the answer would be the ministry.

14. The mission of the UN specialized agency responsible for issues concerning information and communication technologies includes all of the following EXCEPT

- A. coordinating the shared global use of the radio spectrum
- B. promoting international cooperation in assigning satellite orbits
- C. working to improve telecommunication infrastructure in the developing world
- D. assisting in the development of technical standards
- E. None of the above ✓**

Answer: E. None of the above

Insight: The deck gives the ITU mission as exactly these four: shared use of the radio spectrum, satellite-orbit assignment, telecom infrastructure in the developing world, and worldwide technical standards. All four are included, so none is the exception.

15. Which of the following is FALSE about an industry with one monopoly firm?

- A. Higher prices are experienced
- B. Supply is low
- C. Production is inefficient
- D. Inferior goods are produced ✓**
- E. None of the above

Answer: D. Inferior goods are produced

Insight: The deck says a monopoly causes exactly three harms: lower output (low supply), higher price, and less-efficient/higher-cost production. 'Inferior goods are produced' is not one of them — so it is the false statement.

16. The area within the Access Model which captures population and geographical areas which are still unserved, but in which services would be profitable, is referred to as the

- A. True Access Gap
- B. Current Network Reach and Access
- C. Smart Subsidy Zone
- D. Market Efficiency Gap ✓**
- E. None of the above

Answer: D. Market Efficiency Gap

Insight: In the access-gap model the Market Efficiency Gap is the area that is commercially viable (would be profitable) but not yet served — closeable by market reforms rather than subsidy.

17. By concentrating action on proven grievances rather than on compliance with finely detailed rules, _____ regulation is potentially efficient.

- A. ex-parte
- B. ex-ante
- C. ex-post ✓**
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Ex-post regulation acts on proven grievances after the fact instead of via finely detailed pre-set rules; the deck notes 'intrusion can be lessened by the use of ex-post rules.'

18. The area within the Access Model in which services cannot be provided profitably is referred to as

- A. True Access Gap ✓**
- B. Current Network Reach and Access
- C. Smart Subsidy Zone
- D. Market Efficiency Gap
- E. None of the above

Answer: A. True Access Gap

Insight: The True Access Gap is the area where service cannot be provided profitably at all — it needs subsidy / universal-access funding, unlike the Market Efficiency Gap.

19. All the following are basic forms of regulation, EXCEPT

- A. Technical standardisation
- B. Public policy regulation
- C. Competition regulation
- D. Consumer protection regulation ✓**
- E. None of the above

Answer: D. Consumer protection regulation

Insight: Regulation takes three basic forms: technical standardisation, public policy regulation and competition regulation. Consumer-protection regulation is not one of these three, so it is the exception.

22. [stem reconstructed] Which of these sectors manages the international radio-frequency spectrum and satellite orbit resources?

- A. ITU-R ✓**
- B. ITU-T
- C. ITU-D
- D. ITU-S
- E. None of the above

Answer: A. ITU-R

Insight: ITU-R (Radiocommunication) 'manages the international radio-frequency spectrum and satellite orbit resources.' (Stem was cut off in the photo, but the options fix it.)

23. An increase in price will cause a supply curve to shift to the left.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: A price change causes a movement ALONG the supply curve, not a shift. The curve only shifts when input prices, technology, expectations or the number of sellers change — so this is FALSE.

24. Licences may be issued to achieve all of the following objectives EXCEPT

- A. To regulate the provision of an essential public service
- B. To encourage privatization
- C. To allocate scarce resources
- D. To generate revenue for government
- E. None of the above ✓**

Answer: E. None of the above

Insight: Every option is a listed licensing objective — provision of an essential public service, privatization/ commercialization, allocation of scarce resources, and generating government revenue. So none is the exception.

25. Supply is the quantity of a good sellers wish to sell each time the market opens.

A. TRUE ✓

B. FALSE

Answer: A. TRUE

Insight: Matches the deck's definition: 'the quantity supplied ... is the amount that sellers are willing and able to sell.' TRUE.

26. The role of regulators changes as markets become more competitive.

A. TRUE ✓

B. FALSE

Answer: A. TRUE

Insight: TRUE — as competition develops the regulator's role shifts (lighter-touch / more ex-post competition oversight); a regulator picks among zero/self/co/formal styles by what is appropriate.

27. What type of rule is referred to as 'common sense' regulation?

A. ex-parte

B. ex-ante

C. ex-post ✓

D. Audi alteram partem

E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Inferred: 'common-sense' regulation best fits ex-post — general principles applied with judgment after the fact, rather than detailed rules set in advance. NB: the phrase is not used verbatim in the provided decks, so confirm with your lecturer.

28. Which of the following types of licences simplify regulation?

A. Individual operator licences

B. Class licences ✓

C. Intermediate licences

D. Consultative licences

E. None of the above

Answer: B. Class licences

Insight: Class licences (general authorisations) 'simplify regulation, help ensure a level playing field, and are more flexible' — the deck's exact wording.

29. The specialized agency of the United Nations (UN) responsible for issues that concern information and communication technologies is

A. International Telecommunications Union

B. International Telecommunication Union ✓

C. Institute of Electrical and Electronics Engineers

D. Institute of Electrical and Electronic Engineers

E. World Trade Organization

Answer: B. International Telecommunication Union

Insight: The UN's ICT agency is the International Telecommunication Union (ITU) — the official name uses the singular 'Telecommunication' (option a's plural 'Telecommunications' is the trap).

30. Which of these sectors standardizes global telecommunications (except for radio)?

A. ITU-R

B. ITU-T ✓

C. ITU-D

D. ITU-S

E. None of the above

Answer: B. ITU-T

Insight: ITU-T (Standardization) 'standardizes global telecommunications (except for radio)'; radio is ITU-R's job.

34. [stem reconstructed] The gap between those who have access to modern information and communication technologies and those who do not is referred to as the _____.

A. digital divide ✓

B. digital dividend

C. white space

D. spectral efficiency

E. None of the above

Answer: A. digital divide

Insight: Inferred (standard): the digital divide is the gap between those who have access to modern ICT and those who do not. (Stem was cut off in the photo.) Don't confuse it with the digital dividend (Q39).

35. Which one of the following does NOT occur in perfect competition?

A. There are many buyers.

B. Firms and buyers are completely informed about the prices of the products of each firm in the industry.

C. There are significant restrictions on entry into the industry. ✓

D. Firms already in the industry have no advantage over potential new entrants.

E. No single firm can exert a significant influence on the price of the good.

Answer: C. There are significant restrictions on entry into the industry.

Insight: Perfect competition has free entry, so 'significant restrictions on entry' does NOT occur. The other options (many buyers, perfect information, no incumbent advantage, price-taking) all do occur.

36. What type of rule is being applied if a regulator states, 'You must not indulge in anti-competitive practice', but determines whether a breach has taken place after the event?

A. ex-parte

B. ex-ante

C. ex-post ✓

D. Audi alteram partem

E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Determining whether a breach occurred AFTER the event is ex-post regulation (ex post = 'after some issues have already occurred').

37. Two linear equations A and B represent two supply curves. A has a slope of 2 while B has a slope of 3. Which of the two equations represent a more elastic supply?

A. A ✓

B. B

C. All of the above

D. None of the above

E. Cannot be determined

Answer: A. A

Insight: Under the usual convention a flatter supply curve (smaller slope in the price–quantity plane) is more elastic, so A (slope 2) is taken as more elastic than B (slope 3). NB: strictly, slope alone doesn't fix supply elasticity (it also depends on the intercept / reference price), so verify the intended answer.

38. All of the following are universal access policy objectives EXCEPT

A. To permit full participation in 21st Century society

B. To promote national political, economic and cultural cohesion

C. To allocate scarce resources ✓

D. To promote economic development

E. None of the above

Answer: C. To allocate scarce resources

Insight: Allocating scarce resources (spectrum, numbers, rights of way) is a licensing/regulatory objective, not a universal-access objective — so it is the exception here.

39. Which of the following refers to the radio spectrum released in the process of digital television transition?

- A. digital divide
- B. digital dividend ✓**
- C. white space
- D. spectral efficiency
- E. None of the above

Answer: B. digital dividend

Insight: The digital dividend is the spectrum freed up when broadcasting switches from analogue to digital TV. (Contrast the digital divide, Q34.)

40. In industries with _____, market forces are allowed to work with no external intervention.

- A. co-regulation
- B. zero regulation ✓**
- C. formal regulation
- D. self-regulation
- E. None of the above

Answer: B. zero regulation

Insight: The deck's exact sentence: 'In industries with zero regulation (no regulation), market forces are allowed to work with no external intervention.'

41. The availability of affordable communications services for all citizens within the community in which they live but not necessarily on an individual basis is _____.

- A. Universal Access ✓**
- B. Universal Achievement
- C. Universal Assess
- D. Universal Service
- E. None of the above

Answer: A. Universal Access

Insight: Universal Access = availability on a shared/community basis (not necessarily to each individual). 'Within the community ... not necessarily on an individual basis' → Universal Access. (Compare Q5.)

42. The principle _____ ensures that no person can judge a case in which they have an interest.

- A. ex-parte
- B. ex-ante
- C. ex-post
- D. Audi alteram partem
- E. nemo judex in sua causa debet esse ✓**

Answer: E. nemo judex in sua causa debet esse

Insight: 'No one should be a judge in their own cause' is the maxim nemo judex in sua causa debet esse — the rule against bias ('justice must be seen to be done').

43. Which of these types of economies is vulnerable to managerial corruption?

- A. Traditional
- B. Command ✓**
- C. Market
- D. All of the above
- E. None of the above

Answer: B. Command

Insight: The deck: the command economy 'fails because of ... vulnerability to managerial corruption' (and the intractable complexity of central control).

44. Price ceilings are imposed to increase price above the free market equilibrium price.

- A. TRUE
- B. FALSE ✓**

Answer: B. FALSE

Insight: A price ceiling holds the price BELOW equilibrium (a maximum price); it is a price FLOOR that keeps price above equilibrium. So the statement is FALSE.

45. The maxim 'hear the other side' is expressed in Latin as

- A. ex-parte
- B. ex-ante
- C. ex-post
- D. Audi alteram partem ✓**
- E. nemo iudex in sua causa debet esse

Answer: D. Audi alteram partem

Insight: 'Hear the other side' is the maxim audi alteram partem — the fair-hearing rule.

46. Perfect competition occurs in a market where there are many firms each selling

- A. a unique product
- B. a capital intensive product
- C. a similar product
- D. an identical product ✓**
- E. a competitive product

Answer: D. an identical product

Insight: Perfect competition requires that 'the goods offered for sale are all exactly the same' — i.e. an identical (homogeneous) product.

47. If a price increase of good A increases the quantity demanded of good B, then good B is a

- A. substitute good ✓**
- B. complementary good
- C. inferior good
- D. normal good

Answer: A. substitute good

Insight: If A's price rises and B's quantity demanded rises, buyers are switching from A to B — they are substitutes (positive cross-price relationship).

48. Which form of regulation establishes a common and legally enforceable platform for all businesses within a sector?

- A. Competition regulation
- B. Public policy regulation
- C. Business regulation
- D. Technical standardisation ✓**
- E. Business standardisation

Answer: D. Technical standardisation

Insight: Technical standardisation 'establishes a common and legally enforceable platform for all businesses within a sector' — the deck's exact definition.

49. In a de-regulated industry, market forces are allowed to work with no external intervention.

- A. TRUE ✓**
- B. FALSE

Answer: A. TRUE

Insight: The deck equates the terms: 'industries with zero regulation ... are also said to be completely deregulated (i.e. regulation has been completely removed),' with market forces working with no external intervention. So this reads as TRUE. (The exam sheet circled FALSE — treat with care and confirm.)

50. _____ regulation states, in advance, a rule that a company must obey.

- A. ex-parte
- B. ex-ante ✓**
- C. ex-post
- D. Audi alteram partem
- E. nemo iudex in sua causa debet esse

Answer: B. ex-ante

Insight: A rule stated in advance that a company must obey is ex-ante regulation (ex ante = 'before certain issues arise').

51. Which type of regulation is vulnerable to role ambiguity among the different actors in an industry?

A. co-regulation ✓

- B. zero regulation
- C. formal regulation
- D. self-regulation
- E. None of the above

Answer: A. co-regulation

Insight: The deck: 'co-regulation is vulnerable to role ambiguity and the differing player perceptions of what the others will do.'

52. Which of the following types of licences are used primarily where there is likely to be market dominance?

A. Individual operator licences ✓

- B. Class licences
- C. Intermediate licences
- D. Consultative licences
- E. None of the above

Answer: A. Individual operator licences

Insight: Individual operator licences are used 'primarily where ... there is likely to be market dominance' (also limited licences / specific spectrum) — the deck's exact wording.

53. Which of the following best describe(s) guidelines? (I) They are informal documents. (II) They are drafted in legal language.

A. I only ✓

- B. II only
- C. Both I and II
- D. None of the above

Answer: A. I only

Insight: 'Guidelines are informal documents that do not ... possess a legal status' and are 'usually presented in user-friendly language'. So (I) is true and (II) is false — legal language is used for determinations/consents, not guidelines.

54. Characteristics of _____ include the removal of exclusive rights from monopoly firms and award of licences for all new services on a competitive basis.

- A. regulation
- B. privatization
- C. liberalization ✓**
- D. de-regulation
- E. reformation

Answer: C. liberalization

Insight: Liberalization = 'the removal of exclusive rights from the former monopoly ... and the award of licences for all new services on a competitive basis' — the deck's exact description.

55. _____ refers to the intervention by governments in those markets in order to achieve certain outcomes.

A. regulation ✓

- B. privatization
- C. liberalization
- D. de-regulation
- E. policy

Answer: A. regulation

Insight: Regulation 'refers to the intervention by governments in markets in order to achieve certain outcomes' — the deck's exact definition.

56. A market can accurately be described as

- A. a place to buy things

B. a place to sell things

C. the process by which prices adjust to reconcile the allocation of resources ✓

D. a place where buyers and sellers meet

Answer: C. the process by which prices adjust to reconcile the allocation of resources

Insight: The deck calls a market 'a group of buyers and sellers' and notes markets can be non-physical (e.g. online), so it is a price/allocation mechanism, not merely 'a place'. The most accurate description is the price-adjustment process that reconciles the allocation of resources.

57. The area within the Access Model which captures high population density and higher-income citizens which have historically been well served is referred to as the

A. True Access Gap

B. Current Network Reach and Access ✓

C. Smart Subsidy Zone

D. Market Efficiency Gap

E. None of the above

Answer: B. Current Network Reach and Access

Insight: 'Current Network Reach and Access' is the already-well-served area (high density, higher income) that the market has already reached.

58. _____ regulation gives regulation its power to react reasonably in unforeseen circumstances.

A. ex-parte

B. ex-ante

C. ex-post ✓

D. Audi alteram partem

E. nemo iudex in sua causa debet esse

Answer: C. ex-post

Insight: Reacting reasonably to unforeseen circumstances is ex-post regulation — you respond after events occur, unlike fixed ex-ante rules.

59. In the mixed economy

A. economic problems are solved by the government and market ✓

B. economic decisions are made by the private sector and free market

C. economic allocation is achieved by the 'invisible hand'

D. economic questions are solved by government departments

Answer: A. economic problems are solved by the government and market

Insight: A mixed economy blends command and market: 'Command measures, blended with market economies, create the mixed economies,' with governments intervening to correct market failure.

60. Which of the following is NOT a widely accepted regulatory objective in the telecommunication sector?

A. Foster competitive markets to promote local entrepreneurial initiative ✓

B. Protect consumer rights, including privacy rights

C. Promote universal access to basic telecommunications services

D. Optimize use of scarce resources

E. Create a favourable climate to promote investment to expand telecommunications networks

Answer: A. Foster competitive markets to promote local entrepreneurial initiative

Insight: The deck's widely-accepted objectives foster competitive markets to promote efficient supply, quality, advanced services and efficient prices — NOT 'local entrepreneurial initiative'. The other four options are listed objectives verbatim, so (a) is the odd one out.